

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)

**RESPONDENTS' REPLY TO THE BUREAU OF ENFORCEMENT'S
RESPONSE TO RESPONDENT'S MOTION TO DISMISS**

Respondent Ocean Network Express Pte. Ltd. (“ONE”) and putative Respondent Ocean Network (North America) Inc. (“ONE NA”) hereby reply, pursuant to FMC Rule 70(c), to the Bureau of Enforcement’s (“BOE’s”) Response (“BOE Response”) to ONE and ONE NA’s Motion to Dismiss (“Motion”). [ONE and ONE NA’s January 19, 2022 Petition for Reconsideration will be referred to as “Petition.”]

In the Motion, ONE and ONE NA demonstrated that the Order of Investigation and Hearing (“Order”) in this proceeding must be dismissed. In this respect, ONE and ONE NA showed:

1. The Order must be dismissed as to ONE NA because ONE NA is not an “ocean common carrier” within the scope of the Shipping Act, 46 U.S.C. 40102(18), and therefore the FMC lacks personal jurisdiction over ONE NA and subject matter jurisdiction over BOE’s claim against ONE NA. This is so both as matter of facial attack (assuming the allegations are true) and factual attack (based on ONE NA’s statements under oath). The Order does not contain any allegations (“allegations”) that ONE NA itself operates as an ocean common carrier – including,

inter alia, that it holds out to the general public to carry cargo in the U.S.-foreign trades and that it operates oceangoing vessels, and, as a matter of verified fact, ONE NA does not do so.

2. The Order must be dismissed against ONE (and ONE NA if deemed an ocean common carrier) for failure to state a claim. The allegations simply do not suffice to show the essential elements of a 46 U.S.C. 41102(c) violation. In particular, the allegations fail to sufficiently allege that ONE engaged in a “practice” or that its request to a federal court regarding an undisputed “maritime contract” subject to the court’s constitutional and statutory admiralty jurisdiction was unreasonable.

This Reply addresses BOE’s attempt to rebut the Motion. As to personal jurisdiction and subject matter jurisdiction, ONE NA shows that BOE, which bears the burden of proving jurisdiction, (i) still has not identified a single allegation stating that ONE NA itself is an ocean common carrier, despite its vain effort to amend on brief the allegations of the Order, and so fails the facial attack, and (ii) has not rebutted ONE NA’s evidence, provided under oath, that it is not an ocean common carrier and neither holds out to the general public to transport cargo nor operates vessels.

As to BOE’s failure to state a claim, ONE (and ONE NA, if necessary) demonstrated that BOE’s attempt to redefine “practice” so as to evade FMC precedents is unavailing. Although it is unnecessary to go any further, as failure to adequately allege a practice is sufficient for dismissal, ONE (and ONE NA, if necessary) demonstrates that the allegations likewise fail to make out the element of unreasonableness. BOE’s efforts to have the FMC resolve what would have happened in court had the Texas Litigation proceeded to decision is improper, as are its attempt to barricade access to the courts for good faith litigation and to have the Commission regulate the substantive terms and conditions of carrier bills of lading, despite the Commission’s rejection of

such jurisdiction and BOE's own disavowal of such authority.¹ Much of the Response on this score relies on *post-hoc* "facts" provided by counsel but found nowhere in the allegations.

I. THE FMC LACKS JURISDICTION OVER ONE NA

The Motion demonstrated that the Commission has neither personal jurisdiction over ONE NA nor subject matter jurisdiction over the claim against ONE NA, because ONE NA is simply not an ocean common carrier within the meaning of the Shipping Act. The FMC recognizes that fact by not listing ONE NA as an ocean common carrier. Nor does ONE NA have an FMC-1 on file or an FMC organization number. And most importantly, ONE NA has stated under oath (in both the Petition and the Motion) that ONE NA does not hold out to provide ocean transportation to the general public (or anyone at all) and does not operate a single vessel.²

BOE bears the burden of proving jurisdiction,³ which means that it must overcome both the facial attack and the factual attack. It has done neither.

1. **Facial Attack.** The Motion demonstrates that the allegations utterly fail to aver that ONE NA, as opposed to ONE, acts as an ocean common carrier, that ONE NA holds out to the public to provide ocean transportation or that ONE NA operates vessels.⁴ BOE's only

¹ Some of BOE statements in the Response suggest a lack of full fidelity to FMC Rule 502.6(a), including its denial of statements it made before witness and its distortion of facts and case law. We assume that these transgressions were the result of short memories and short time, so do not pursue them beyond pointing them out.

² BOE's plea for discovery should be denied as it fails to say how, other than a fishing expedition, discovery might contradict the FMC's website and ONE NA's sworn statements. Such fruitless activity would simply delay the proceeding and make it more burdensome.

³ In *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 FMC LEXIS 33, the Commission found that "[w]hen a defendant makes a Rule 12(b)(1) motion challenging the factual basis of subject matter jurisdiction, courts have required the plaintiff to bear the burden of proving that jurisdiction exists." *Id.* at *9 (citing *Richmond, Fredericksburg & Potomac R.R. Co. v. U.S.*, 945 F.2d 765, 768 (4th Cir. 1991)).

⁴ The Commission's jurisdiction does not extend to agents of regulated entities. See, *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493 (D.C. 2009).

response to this failure is to attach extraneous material, impermissible on a facial attack, and to amend the allegations to use Respondents, instead of ONE or ONE NA, still conflating the two entities.⁵ Accordingly, ONE NA's Motion must be granted on facial grounds, without need to consider the factual attack.

2. Factual Attack. ONE NA also made a factual attack on jurisdiction, stating, under oath, that ONE NA neither operates vessels nor holds out to provide transportation. Because ONE NA presented evidence that it does not operate as an ocean common carrier, it was incumbent on BOE to rebut the showing with evidence of its own.⁶ And in a facial attack, the allegations are of no moment.⁷ BOE has made virtually no attempt (and certainly no credible attempt) to rebut the facts established by ONE NA under oath. Nor has BOE presented any facts of its own to prove that ONE NA is a VOCC.⁸ Instead of so doing, BOE has simply cast dust, based largely on faulty and misleading arguments and misstatements of fact.

In attempting to respond, BOE relies almost entirely on its attachment of the Complaint that ONE and ONE NA filed in the Texas litigation. BOE's claims about the Complaint are

⁵ Even if the allegation that "ONE" or "Respondents" are VOCCs is assumed to encompass a specific claim as to ONE NA, such an imaginary claim is both conclusory and a conclusion of law, not an allegation of fact, so cannot suffice to avert a facial attack. See, e.g., *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (accepting allegations as true "is inapplicable to legal conclusions"); *Id.* at 679 (conclusory allegations "are not entitled to be assumed true"); *Papasan v. Allain*, 478 U.S. 265, 286 (1986) ("[a]lthough a plaintiff is entitled to all reasonable inferences from the facts alleged, a plaintiff's legal conclusions are not entitled to deference and the court is 'not bound to accept as true a legal conclusion couched as a factual allegation.'"); *DNB Exports LLC v. Barsan Global*, 2011 FMC LEXIS 26 at **7-8 ("court is not required to accept a plaintiff's legal conclusions").

⁶ See, e.g., *Rosemound Sand & Gravel Co. v. Lambert Sand & Gravel Co.*, 469 F.2d 416, 218 (5th Cir. 1972), *Berardinelli v. Castle & Cooke, Inc.*, 587 F.2d 37, 39 (9th Cir. 1978); *Gough v. Rossmoor Corp.*, 487 F.2d 373, 377 (9th Cir. 1973).

⁷ See, e.g., *Erby v. U.S.*, 424 F. Supp. 2d 180, 183 (D.D.C. 2006) ("presumption of correctness accorded to complaint's allegations with respect to jurisdiction 'falls away' once defendant proffers evidence that calls the court's jurisdiction into question").

⁸ Unlike BOE, Greatway recognized ONE NA was not a VOCC. *Greatway Logistics Group, LLC v. Ocean Network Express PTE. LTD.*, 2021 FMC LEXIS 190.

uniformly without merit. BOE’s fundamental claim is that “ONE NA acted as a principal and carrier in its own name to enforce the bills of lading against Greatway.” BOE Response at 4. That claim is patently false, and nothing in BOE’s Response supports it.

First, BOE asserts (as if it has meaning) that ONE NA is “a foreign corporation organized under the laws of Virginia with its principal office located in Richmond, Virginia.” BOE Response at 4. The short answer is, so what? Whether ONE NA is incorporated in Texas, Virginia, Timbuktu, or elsewhere has no bearing on whether ONE NA is an ocean common carrier. Many companies located in Richmond, Virginia are not ocean common carriers. For BOE to show that ONE NA meets the Shipping Act definition of ocean common carrier, it must present facts (not speculation) showing that ONE NA acts as an ocean common carrier, including holding out and operating vessels.

BOE states that ONE NA “declared itself a principal and carrier” by being a plaintiff in the Texas litigation. BOE Response at 4. The Texas Complaint, however, says nothing of the sort; the word “principal” only appears in the Complaint with respect to the location of ONE NA’s “principal” place of business.

BOE apparently presumes that an entity must be a “principal and carrier” to file suit in federal court under a maritime contract but offers nothing to support that presumption. The FMC has permitted agents to bring reparations claims on behalf of their principals – see *Chiarella v. Pacon Express, Inc.*, 2001 FMC LEXIS 41 (FMC 2001) -- and BOE offers nothing to show that federal courts take a contrary view.⁹ And even if the federal courts do not allow agents to seek

⁹ In fact, it is common for agents of other FMC-regulated VOCCs to seek relief in federal court. See e.g., *Maersk, Inc. v. Neewra, Inc.*, 687 F. Supp. 2d 300, (S.D.N.Y. 2009); *Zim Am. Integrated Shipping Servs.*

damages on behalf of principals, the filing by ONE NA of an improper complaint would not change whether it falls within the definitions of an entity regulated under the Shipping Act.¹⁰

BOE jumps from the untenable to the absurd, claiming that it is ONE NA, not the Order, that conflates the two entities. Its “evidence” is less than sparse, constituting only the alleged facts (not found in the Order) that ONE and ONE NA use the same email domain and IP service marks, and that ONE NA may issue an “arrival notice” on behalf of ONE. BOE Response at 4. While this might be of marginal interest if BOE were trying to pierce the corporate veil on the alleged, though clearly unfounded, basis that ONE NA controls ONE, it is irrelevant to the question whether ONE NA acts as an ocean common carrier. Further, sending arrival notices (not issuing bills of lading) is frequently done by local agents at destination, as the FMC must surely know, and absolutely nothing on the arrival notice attached by BOE (BOE 00064-66) suggests that ONE NA is issuing the notice as a principal. To the contrary, it expressly states (BOE 00066) that the remittance office is ONE “c/o” ONE NA, directly showing the agency relationship.

BOE’s attachments belie its claims in additional respects, as follows:

- The bills of lading define carrier as ONE: “carrier means Ocean Network Express Pte. Ltd.” BOE 0007, 00015, 00039;
- The bills of lading are all issued in the sole name of ONE and specifically state that they are issued by ONE Network Express Pte. Ltd. **as carrier.**” A different ONE affiliate – Ocean Network Express Sao Paulo – is shown as “agent” for ONE, but ONE NA appears nowhere on the bills of lading. See BOE 00012-13; BOE 00036-37.

Co., LLC v. Sportswear Grp., LLC, 2021 U.S. Dist. LEXIS 139863 (S.D.N.Y. 2021); *Cosco Shipping Lines (N. Am.) Inc. v. Huatai USA LLC*, 2021 U.S. Dist. LEXIS 137597 (D.N.J. 2021).

¹⁰ BOE’s claim that the Complaint mentioned payment to “plaintiffs” is equally unavailing. Any payment to ONE NA would have been as agent for ONE, not for its own account. Many VOCCS use third parties (including affiliates) as collection agents. That does not render the agents either principals or carriers.

- The ONE invoices are also in the name of ONE, with ONE NA shown only as the “c/o” agent. BOE 00060-61; 00062-63.

In sum, as stated in the Motion:

“Only by operating a vessel and holding itself out to the public to provide transportation in the U.S. foreign trade can an entity be regulated as an ocean common carrier. ONE NA does neither and we can find no law to support the proposition that anything else would bestow the Commission with jurisdiction over ONE NA.”

Despite two chances, BOE has failed to allege either that ONE NA has operated a single vessel or that ONE NA has ever held itself out to carry cargo for the general public. BOE does not offer any evidence in rebuttal. Accordingly, ONE NA must be dismissed from the proceeding.

II. BOE HAS FAILED TO STATE A CLAIM

ONE demonstrated in the Motion that the Order fails to state a claim against ONE (or ONE NA if it were subject to FMC regulation). As there shown, the allegations in the Order, even if believed, are entirely conclusory and wholly insufficient to make out a plausible claim for relief. In particular, the Motion shows that the allegations in the Order do not, and cannot, make out either: (i) a practice, or (ii) unreasonableness under controlling Commission precedent.

BOE in response essentially abdicates. It makes no attempt to justify its claims based on the actual allegations of the Order. Nor does BOE show how any of its conclusory recitations of the elements of its claim are supported by allegations of fact. Instead, it relies almost entirely on material outside the Order, which as a matter of law it may not do. Among other things, BOE restates (amends) the allegations of the Order, without leave of the Presiding Officer or action by the Commission, attempts to relitigate the Texas Litigation in this forum, adds multiple claims by

counsel of alleged fact and mischaracterizes the case law. Accordingly, as we elaborate below, BOE fails to show adequate allegations of either a practice or unreasonableness.

1. **Practice.** BOE’s opening salvo is a puzzling claim that the requirement of a “normal, customary and continuous business practice” is met by a definition and its singular application in one instance.¹¹ To state the proposition is to refute it. Under BOE’s theory of the case, ONE’s definition of Merchant, in its bill of lading since 2018, was not a violation of the Shipping Act,¹² but suddenly transformed into such a violation when ONE attempted to apply it in a single instance. BOE offers no explanation as to how this transubstantiation took place, or how an action that occurred only once (or twice if you count bills of lading) can possibly be deemed customary or continuous, much less as the Commission has required “the normal, customary, *often repeated, systematic, uniform, habitual*, and continuous manner in which the regulated common carrier was conducting business.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64479 (Dec. 17, 2018)(Final Rule)(emphases added)(footnotes and citations omitted).

BOE next contends, without citing a single allegation in the Order, that ONE’s bill of lading defined Merchant “to include parties with whom Respondents are not in contractual privity and who have not otherwise consented to be bound by the terms of its bill of lading.”

BOE Response at 8. That is inaccurate. As ONE has repeatedly told BOE, it interprets its bill of

¹¹ BOE’s claim that it does not “know” that, the Texas Litigation apart, ONE has never sought to collect freight and detention/demurrage from an entity that was not party to the bill of lading is simply not credible. ONE has stated that fact under oath at least three times – in its November 19, 2021 Response to the Commission’s NOI (which was sent directly to BOE), in its verified Petition for Reconsideration and in its verified Motion. Further, Counsel for ONE has repeatedly informed BOE as to the unique (in its true meaning) nature of the Texas Litigation, and BOE has acknowledged those statements.

¹² As shown in the Motion (p. 9 n.5), ONE’s Merchant Clause cannot itself be considered a practice, because, as BOE has acknowledged, a bill of lading clause is not itself a practice and the FMC does not have jurisdiction over the substance of carrier bills of lading. BOE has neither rebutted that showing nor, in this case, sought to take back its prior statements.

lading to allow claims against persons not shown as shipper or consignee on a straight bill of lading *only* in cases where that person has manifested consent, as authorized by the federal courts.

BOE goes on to misstate (as it does again later) the Presiding Officer's opinion in *MAVL*, which it characterizes as holding that a single bill of lading and one application of a term that it contains establishes Respondent's "normal customary and continuous practice." BOE Response at 8-10. Shockingly, BOE declines to acknowledge the Presiding Officer's further statement in *MAVL* that the Respondent "does not assert that this was a mistake or an isolated incident," even though this statement (somewhat expanded) was directly quoted in the Motion (at 12). Nothing in the Order or BOE's Response alleges anything other than an isolated incident.¹³

This misunderstanding by BOE of what makes out a practice flows into its vain attempt to distinguish the decisions cited in the Motion.¹⁴ They fully accord with the Presiding Officer's opinion in *MAVL* that a practice must be more than an isolated incident.

2. **Unreasonableness.** Although the Motion must be granted for failure to allege a practice, and so the matter of reasonableness need not be addressed, the Order would need to be addressed on this count as well. As shown in the Motion, ONE's decision to explore the potential liability of Greatway in the Texas Litigation is fully in accord with both judicial precedents and those of the FMC.

¹³ ONE is bemused by BOE's claim (BOE Response at 9 n.4) that ONE was somehow trying to obfuscate the meaning of *MAVL* when it said it would limit its comments because the decision is on Exceptions. Although BOE correctly points out that the Respondent has not raised the issue before the Commission, it must recognize that under the Rules, the Commission on Exceptions "will have all the powers which it would have in making the initial decision." Rule 227(6). ONE was merely trying to be circumspect about a matter that is pending before the Commission.

¹⁴ *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2020 FMC LEXIS 192 (FMC 2020); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2020 FMC LEXIS 238 (ALJ 2020), *aff'd*, 2021 FMC LEXIS 125 (FMC 2021); *Marie Carew v. Maersk Line A/S*, 2021 FMC LEXIS 183 (I.D.) (Admin. Final 2021); *Andrew v. Marine Transport Logistics, Inc.*, 2022 FMC LEXIS 24 (I.D. 2022).

BOE's fundamental response is that "[c]ase law is clear that a party cannot be bound to the terms of a bill of lading unless that party consents to be bound." BOE Response at 10. But BOE ignores that the case law also states that a party may **manifest** consent to be bound by means other than being a party to the bill of lading, including by serving as an agent for the shipper or the consignee or by exercising control over the cargo.

To support this proposition, BOE substantially relies on the district court decision in *Zim Am. Integrated Shipping Servs. Co. v. Sportswear Grp. LLC*, 2021 U.S. Dist. LEXIS 223441 (S.D.N.Y. 2021) ("Zim"). But the BOE Response fails to recognize the true relevance of that decision. The actual holding of the court was that plaintiff had failed to allege a sufficient connection between the defendant and the shipper consignee to permit a finding of liability, although it gave plaintiff an opportunity to amend the complaint to add the necessary connection. In so doing, the court explicitly recognized that, as a matter of maritime law, liability under a bill of lading is **not** restricted to shippers and consignees shown on the face of the bill. As the court stated in this regard: "Contractual obligations cannot be imposed on an intended beneficiary absent a showing that the third party manifested acceptance to be bound **or the existence of an agency relationship with one of the contracting parties.**" *Id.* at *12 (emphasis added) (quoting from *Dynamic Worldwide Logistics, Inc. v. Exclusive Expressions, LLC*, 77 F. Supp. 3d 364, 374 (S.D.N.Y. 2015)). To like effect, in finding the allegations deficient, the court stated: Carrier "does not allege that an **agency relationship** existed pursuant to which Sportswear Group would be bound. . . . And there are no allegations that there was an **agency relationship** between Sportswear Group and one of these contracting parties." *Zim* at *16 (emphases added). Likewise, in the other case that BOE cites – *In re M/V Rickmers Genoa Litigation*, 622 F. Supp.2d 56 (S.D.N.Y. 2009) – the court explained that liability may be based on an agency relationship

between the third party and the shipper or consignee: “the two primary methods for actually binding an intended beneficiary to a bill of lading are showing that the third party exhibited acceptance to be so bound **and through an agency relationship with one of the contracting parties.**” *Id.* at 72 (emphasis added)(citing to *Taisheng Int’l Ltd. v. Eagle Mar. Servs., Inc.*, No. Civ. A. H-05-1920, 2006 U.S. Dist. LEXIS 18812 at *4 (S.D. Tex. Mar. 30, 2006)).¹⁵

As these (and other cases discussed below) demonstrate and BOE has acknowledged,¹⁶ a carrier may bring a plausible claim under a bill of lading against a third-party in federal court if it adequately alleges an agency relationship between the third party and the shipper/consignee. Federal courts have constitutional and statutory jurisdiction over such claims because, as the court identified in the *Zim* case, bills of lading are “maritime contracts,” subject to the admiralty jurisdiction of the courts.¹⁷ BOE’s theory posits to the contrary that the FMC may deny carriers access to the federal courts and even overrule the courts. BOE says nothing, for example, as to what would happen if a court found a third party liable to pay charges to a carrier and the third party then brought an unreasonable practice complaint at the FMC to recover those charges. Further, this problem could not be solved by FMC deference to the courts, as it would be untenable to have a system where the reasonableness of a carrier’s action depends on which way the court rules in that specific instance. And finally, the threat of FMC sanctions (reparations

¹⁵ These cases, and others discussed in the Motion and below, put paid BOE’s brash assertion (BOE Response at 10) that claims against third parties are “disavowed under contract law.” Some are, some are not.

¹⁶ BOE states that it has not conceded this point. BOE Response at 13 n.5. The reality is that it has, in multiple instances. Although the matter of BOE’s concession is too trivial to justify further space, we would be prepared, if necessary, to present witnesses to these conversations.

¹⁷ See, e.g., *Norfolk Southern Railway Co. v. Kirby*, 543 U.S. 14, 25-27 (2004); *Thylin Steel Co. v. Asoma Corp.*, 215 F.3d 273, 277-278 (2d Cir. 2000) (citing to *Luckenbach S.S. Co. v. Coast Mfg. & Supply Co.*, 185 F. Supp. 910, 915-16 (E.D.N.Y. 1960); *Benedict on Admiralty* § 189[a] at 12-36).

and/or penalties) would have a deterrent effect on carrier access to the courts, as any attempt to collect charges would raise a risk of FMC-ordered payments, and possibly also attorney's fees.

BOE next asks the Commission to render a decision as to whether ONE *would* have succeeded on the merits in the Texas Litigation. It starts with the unadorned assertion that "Greatway is not liable for the charges at issue." BOE Response at 11. Who says? In one respect, the claim is trivially true – the matter settled and so nobody "is" currently liable for the charges at issue. As to whether Greatway "was" potentially liable, that is the job of the courts, not the FMC. As demonstrated above, Greatway *might* have been liable if ONE proved that Greatway had a sufficient connection to the consignee.

In arguing the merits of ONE's federal court litigation against Greatway, BOE next tosses in the red herring that a notify party is not, purely by dint of that designation, liable for ocean freight and demurrage. ONE has never stated to the contrary. That was not the basis for its complaint against Greatway;¹⁸ it was not the basis for its defense in the *Greatway* proceeding before the Commission; and it is not a basis for ONE's defense here. As BOE well knows, Greatway took additional actions indicating a possessory interest in and control over the cargo, such as declining the shipper's request to amend the bill of lading and acting as an intermediary between ONE and the consignee with respect to the mounting demurrage charges.¹⁹

BOE then attempts, disingenuously, to distinguish cases cited by ONE in the Motion. It first focuses on the *Zim* case, again making the irrelevant statement, addressed immediately

¹⁸ BOE's speculation is flatly contradicted by its own allegation that ONE filed suit against Greatway in connection with a bill of lading as to which Greatway was *not* a notify party. BOE Response at 6.

¹⁹ While BOE claims that these things did not happen, it knows full well they did, as they are reflected in emails disclosed to BOE in the initial discovery phase of the *Greatway* proceeding.

above, that the opinion stands for the unremarkable proposition that status as a notify party, by itself, does not make a third party liable for bill of lading charges. ONE has never said that it does. BOE does not and could not allege that ONE filed suit based on a theory of notify party liability. Counsel for BOE is again just making up facts not found in the allegations. As stated in the Motion and quoted above, the *Zim* decision, like the *Rickmers* decision, expressly recognizes that an agency relationship *may* suffice for third-party liability. Whether the specific agency relationship between Greatway and the consignee was enough of a connection to warrant liability was ultimately not briefed to or decided by the court,²⁰ and should not be second-guessed by the FMC.

BOE again seeks to add facts outside the allegations by asserting that “Greatway did not exercise control over the shipments.” BOE Response at 12. We do not find any reference to control or lack thereof in the allegations and BOE omits reference to the emails it received from Greatway in the *Greatway* proceeding, which evidence Greatway’s control. Likewise, BOE says that “Greatway did not engage or negotiate with Respondents for their services on behalf of PLR.” BOE Response at 12. BOE does not cite to any of the allegations, and for the good reason that no such allegation exists. Further, as stated above, Greatway did hold discussions with ONE and PLR as to both a potential remedy for the holdup and about demurrage, as evidenced by documents in BOE’s possession.

BOE tries to distinguish three cases cited in the Motion for the purpose, according to BOE, of “support[ing] a finding that Greatway should be liable as an agent.” BOE Response at 13. But that is a gross mischaracterization of ONE’s claim. ONE’s assertion was only that an

²⁰ Notably, Greatway never claimed in the Texas Litigation that the ONE complaint was frivolous nor did Greatway file a motion to dismiss the Texas Litigation.

agent of a disclosed shipper or consignee **may** be found liable under appropriate circumstances, so that it would be improper for the FMC to cut off access to the courts with respect to “maritime contracts” subject to admiralty jurisdiction. How can it possibly be unreasonable for a carrier who thinks the judicial criteria may be met to then test that belief in court (subject to court rules on good faith)? It is worth repeating that ONE **voluntarily** dismissed its court claims against Greatway after only preliminary discovery.

BOE’s attempt to distinguish *Mediterranean Shipping Co. USA Inc. v. AA Cargo, Inc.* 46 F. Supp. 3d 294 (S.D.N.Y. 2014) is equally futile. There, the court held that the defendant was liable for the charges whether it was viewed as the shipper or as an agent of the shipper.²¹

BOE tries to overcome the Commission’s repeatedly stated receptiveness to agent liability by addressing only one of the cases that ONE cited, ignoring the others. Thus, BOE notes only the very first FMC case on vessel agent liability for terminal services rendered to the vessel – *West Gulf Maritime Association v. Port of Houston Authority*, 21 FMC 244 (1978) (“*WGMA I*”) – and say that it depended on various factors not present here. Although some of those factors are in fact present here, that is not the important point. What is important is that the Commission refined its approach in subsequent cases, which ONE cited but BOE omits, where those factors were absent. In *Palmetto Shipping & Stevedoring Co. v Georgia Ports Authority*, 1988 FMC LEXIS 13 (FMC 1988), for example, the Commission applied the same rule despite the following changes in fact from *WGMA I*:

- “(1) the nature of the liability imposed by GPA [primary instead of secondary];
- (2) the exercise of ‘monopoly power’ by GPA or, stated another way, the absence

²¹ As a subsequent court summarized: “The court ultimately held that AA Cargo could be held liable for the charges because it had admitted that it was serving as an agent for another and because the bill of lading in that case included “any person acting on behalf of another” within the definition of a “Merchant.” *Mediterranean Shipping Co. v. Best Tire Recycling, Inc.*, 254 F. Supp. 3d 305 (D. PR. 2015).

of a voluntary course of conduct by vessel agents; (3) the superior collection abilities of GPA; (4) the excessive amount of liability imposed and lack of consideration or "compensation" to vessel agents; and (5) the change in prevailing industry practices." *Id.* at *9.

Finally, BOE quibbles that the degree of control exercised by Greatway over the cargo did not reach the same level of control as that found in cases cited in the Motion. Its discussion on this score, however, is replete with "facts" made up by counsel and not found in the allegations. It repeatedly asserts that Greatway "did not exhibit control over the cargo" and "never effected control over the cargo." BOE Response at 12. ONE has already demonstrated that there is nothing about control, or lack thereof, in the allegations, and BOE is necessarily aware from the *Greatway* discovery that Greatway did exercise some control, including by declining a requested change of consignee. Although determining whether a consignee may be changed appears significant to us, the degree of significance is irrelevant here. As repeatedly explained, it is the courts that resolve disputes over maritime contracts, and carriers must be free to test in court whether factual circumstances meet judicial criteria for agent liability, if they do so in good faith, as required by Rule 11. It is thus not possible nor equitable for the Commission to deem unreasonable a carrier's good faith effort to have a maritime contract question resolved in court.

For the foregoing reasons and those stated in the Motion, the Order must be dismissed in all respects.

Dated: February 18, 2022

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CERTIFICATE OF SERVICE

I certify that on the 18th day of February, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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